

neither study had the benefit of the behavioral finance literature that informs this book.

EARLY PSYCHOGRAPHIC MODELS

We will now review these two models of investor psychographics from the 1980s. We will then move to more recent models of investor behavior.

Barnewall Two-Way Model

One of the oldest and most prevalent psychographic investor models, based on the work of Marilyn MacGruder Barnewall and intended to help investment advisers interface with clients, distinguishes two relatively simple investor types: passive and active. Barnewall notes that “passive investors” are defined as those investors who have become wealthy passively—for example, by inheritance or by risking the capital of others rather than risking their own capital (managers who benefit when their companies do well are examples of the latter category). Passive investors have a greater need for security than they have tolerance for risk. Occupational groups that tend to have passive investors include corporate executives, lawyers with large regional firms, certified public accountants (CPA) with large CPA companies, medical and dental non-surgeons, small business owners who inherited the business, politicians, bankers, and journalists. Further, the smaller the economic resources an investor has, the more likely the person is to be a passive investor. The lack of resources gives individuals a higher security need and a lower tolerance for risk.

“Active investors” are individuals who have been actively involved in wealth creation through investment, and they have risked their own capital in achieving their wealth objectives. Active investors have a higher tolerance for risk than they have need for security. Related to their high risk tolerance is the fact that active investors prefer to maintain control of their own investments. Their tolerance for risk is high because they believe in themselves. When active investors sense a loss of control, their risk tolerance drops quickly. They are involved in their own investments to the point that they gather tremendous amounts of information about the investments. By their involvement and control, they feel that they reduce risk to an acceptable level, which is often fallacious (Barnewall 1987).

Barnewall’s work suggests that a simple, non-invasive overview of an investor’s personal history and career record could signal potential pitfalls to guard against in establishing an advisory relationship. Her analysis also